Corporate Finance Switzerland

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Agenda

Section 1

UBS Switzerland AG – Corporate & Institutional Clients

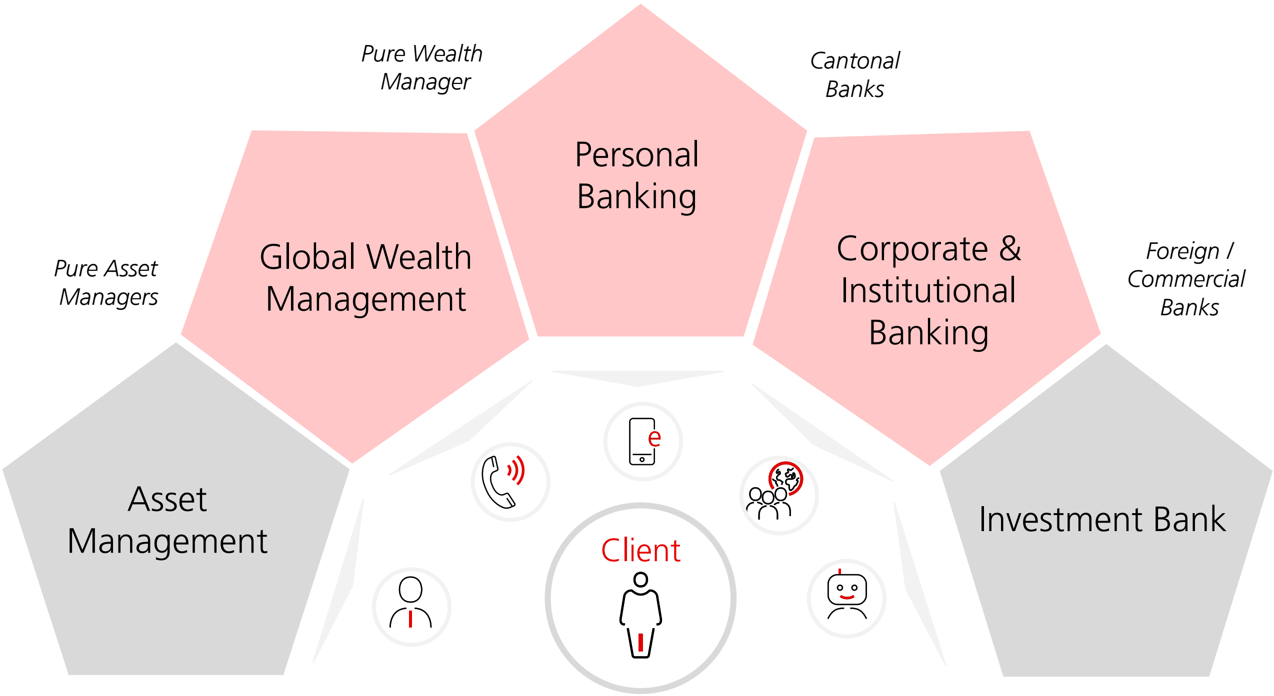
UBS

OneBank collaboration enables UBS to reinforce its position as #1 in Switzerland

Differentiation by truly holistic service offering…

- Management of private wealth
- Holistic coverage of private and corporate needs
- Access to global expertise

...delivered out of one firm in a client centric approach seamless across all channels and businesses…



…diligent execution supported by a systematic collaboration framework

Client Development: Systematic initiation of client shifts from Personal Banking to Global Wealth Management when the clients' investing needs become sufficiently complex

Referrals: Client advisors are encouraged to continuously generate leads ("referrals") for services provided by other business divisions[1]

1 Typical examples are corporate and institutional clients being introduced to Asset Management for mandate solutions or to the Investment Bank for capital market transactions, thus providing access to our global expertise, and entrepreneurs being introduced to Global Wealth Management, ensuring holistic coverage of their corporate and private needs

Corporate & Institutional Clients (CIC) – Who we are and what we do

Who are our clients?

- >50% of medium to large corporate clients in Switzerland
- >90% of multinational groups in Switzerland
- >50% of medium to large Swiss pension funds
- >80% Swiss domiciled banks & brokers

What do we offer our clients?

Comprehensive consulting expertise and execution competence for all corporate and institutional clients in Switzerland and central management of third-party banks and regulated brokers

Strategic dialogue	Trade & Export Finance	Leasing
Corporate finance	Commodity trade finance	Asset servicing

Where we serve our clients

- Hybrid support through 10 regions as well as a central Remote Sales & Advise unit in Switzerland – Omnichannel coverage model for corporate clients
- Four international hubs in Frankfurt, New York, Singapore and Hong Kong
- Contact Center with locations in all language regions
- Digital Banking (E- and Mobile) with steadily growing digital offering

Who are we?

- 2,375 client-oriented and motivated employees
- 43 nationalities
- 37% women
- ~26% part-time employees
- 56% more than 10 years at UBS, 42% more than 15 years

What do we stand for?

- We are the leading bank for corporate and institutional clients in Switzerland
- We act as a strategic partner to our clients in line with our value proposition "We'll drive you to success."
- We accompany our customers everywhere in Switzerland as well as in their activities abroad
- With "UBS key4 business" we offer a variety of digital services for corporates, e.g. an agile digital ecosystem for founders, Instant Credit and online onboarding

How we work together

- We provide reliable support and guidance to our clients also during current challenging times/environment
- We live the OneBank approach by extensively collaborating with other business areas to our clients' benefit: e.g.
  - Winning of entrepreneurs as clients for PB or GWM
  - Close cooperation with Asset Management and Investment Bank in client management
  - Support of GWM with Asset Servicing solutions

Section 2

Corporate Finance

Corporate Finance Switzerland

Your sparring partner and solution provider for complex and strategic business decisions

Structured Finance (S&SF I SF SME)

Transaction financing as well as complex operating and investment loans for your company

M&A and Succession Advisory

Advisory and execution services in the context of your succession planning

Growth Advisory

Financing solutions for your fast-growing scale-up company

Hedging and Private Debt Solutions

Complex interest rate hedging solutions for your company

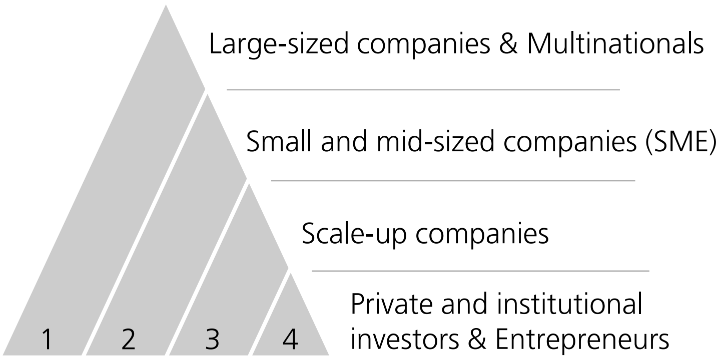
Real Estate Advisory

Advisory and sell-side execution services for your investment property

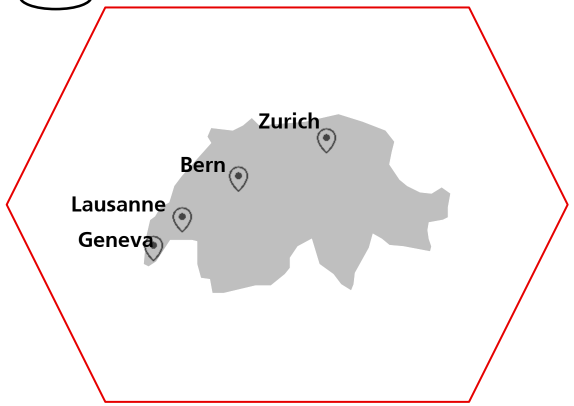
Who we are

- 130 highly motivated and experienced specialists
- More than 600 successful transactions per year
- As one of the largest corporate finance teams in Switzerland, we support you in strategic decisions along the entire life cycle

Who our clients are



Where we are



CARIFY VIU FRAMING CHARACTERS
ANYbotics On
evok FRAMA mail. message. managed.
berlingergroup feel safe
konapharma ag
SERTO OnO
SwissLife psp Swiss Property SWISS PRIME SITE
ZURICH Pensimo
assetimmo
helvetia baloise
eraneos powered by AWK Helvetica ARBONIA
BKW +GF+
sonova HEAR THE WORLD ARYZTA SERVING INSPIRATION
KANAL SERVICE GRUPPE VAT PASSION. PRECISION. PURITY.
Spineart Spineart

UBS

Corporate Finance - Financing services

We provide you with the experience of 70 financing professionals

CHF > 4'500m
Financing volume

~ 250
Completed financing transactions

> 800
Projects assessed per year

Structured & Syndicated Finance – Products (1)

Cash-flow-based financial solutions…

Structured Finance

- Acquisition financing
- Buy-out-/buy-in financing (LBO/MBO/MBI)
- Facility for general corporate purposes
- Real estate financing and commodity trade finance
- Sustainability-linked financing
- Bridge loan for capital markets exit

Financing amount > Own / Net-take UBS

Syndication

- Placement in the Swiss and European banking markets

Agency

- Administration of credit facilities throughout the loan period

… tailored to your needs

UBS

Structured & Syndicated Finance – Products (2)

Transaction-based with high complexity

Strategic background

- Acquisitions
- LBO/MBO/MBI (e.g., private equity)
- Syndicated loans (committed medium-term financing)
- Investment financing (e.g., production plants)
- Recapitalization (optimization, restructuring)

Features

- Transaction-driven (time-consuming)
- Often high debt capacity utilization ("leverage")
- High degree of complexity (e.g., transaction structure)
- Comprehensive loan documentation (e.g., securities)
- Variety of parties involved (advisor, investor, lawyer)

Financing dimensions

Purpose	General corporate purposes	Strategic
Size	Bilateral (up to CHF 50m)	(Around 2 billion) Syndicated loan
Rating	Investment Grade (A- bis BBB-)	(BB+ bis BB-) Sub-investment Grade
Arranging	Best Effort	Underwriting
Placement	Domestic bank market	European bank market

UBS

Syndicated loan versus bilateral credit line - Criteria

With regard to an optimal financing structure a syndicated loan …

	Bilateral credit facility	Syndicated credit facility

Loan documentation	• Separate loan agreements to be entered into with each bank, typically not committed
	• Threat of potential breach of individual agreements right from the beginning or over the lifetime of the credit facilities → triggering "cross default"
		• One single credit facility agreement for all banks
		• Governs different aspects of the credit facility, amongst others:
		  • relationship between the banks
		  • role of UBS as agent

Equal treatment of the banks	• Every bank has a credit relationship with the client → some uncertainty regarding compatibility of facility agreements will always remain	• Equal treatment of the lenders with regard to the financing structure: creditor ranking, security, maturity, other terms and conditions
Handling, communication and exchange of information with banks	• Borrower handles each bank individually and provides information according to their specific requests	• UBS as agent takes over the handling of the credit facility and is responsible for the distribution of information submitted by the borrower to the lenders

Waiver / amendments to the loan documentation	• Client applies for an adjustment with each bank individually (challenge: coordination of the process)
	• Each bank has to agree with the adjustment (in times of difficulties, every bank will make its approval dependent on other banks' consent)
		• UBS as arranger and agent will give advise on how to place the request and coordinate the approval process with the banks
		• In principle, amendments and waivers require the consent of the majority lenders (usually 67%) except in cases of:
		  • increase in the principal amount
		  • extension of commitment
		  • reduction of credit pricing
		  • release of security
		  • changes to the consent requirements

Costs (fees, interest margin)	• No or moderate upfront fee • No agency fee • No legal fees (banks' standard loan agreement) • Interest margins as individually agreed with every bank	• Upfront fee (dependent on complexity, credit quality of borrower, facility amount, duration, syndication risk / market environment) • Agency fee (dependent on kind / number of facilities and number of banks involved) • Legal fee (drafting of loan documentation by external lawyer) • Same interest margin applies for all banks (margin ratchet)

… could be considered to re-finance existing bilateral credit facilities or to finance the development pipeline.

Sustainable financing

Two principal structures have emerged that incentivize sustainability improvements.

	General corporate purposes	Use of proceeds
Type	**Sustainability-linked** financing	**Green / Social / Sustainability** financing
Use of proceeds / characteristics	- For **general corporate** (i.e. any) **purposes** - Sets **incentives** (e.g. via margin) **to achieve ambitious KPIs and targets**	- **Use of proceeds:** proceeds exclusively applied to (re-) **finance**, in part or in full, new and/or existing eligible • **Green Projects/Assets** • **Social Projects** • **Combinations of Green and Social Projects**
Core components	- Selection of material KPIs - Calibration of ambitious Sustainability Performance Targets (SPTs) - Reporting - Verification	- Process for Project Evaluation and Selection - Management of Proceeds - Reporting - (Review)
	Sustainability-linked structures are a **transition instrument** and **more flexible** as KPIs can be **tailored to a company's industry**, its **business model** and its **sustainability strategy.**	Green financings are **typically directed at projects with important capital expenditure**, e.g., renewable energy or real estate
	➢ **Particularly attractive for** general corporate purposes financings like **RCFs**	➢ **Could** potentially **be used to finance an acquisition** if the target (asset) to be acquired is "green"

Many terms are being used for different financing vehicles in the context of sustainable finance and no binding regulations govern their use, yet.

ICMA and LMA have **issued principles and guidelines** that are accepted market standards for bonds and loans, respectively, and whose principal ideas **serve as our minimal standards in any sustainable financing**

Source: ICMA, LMA

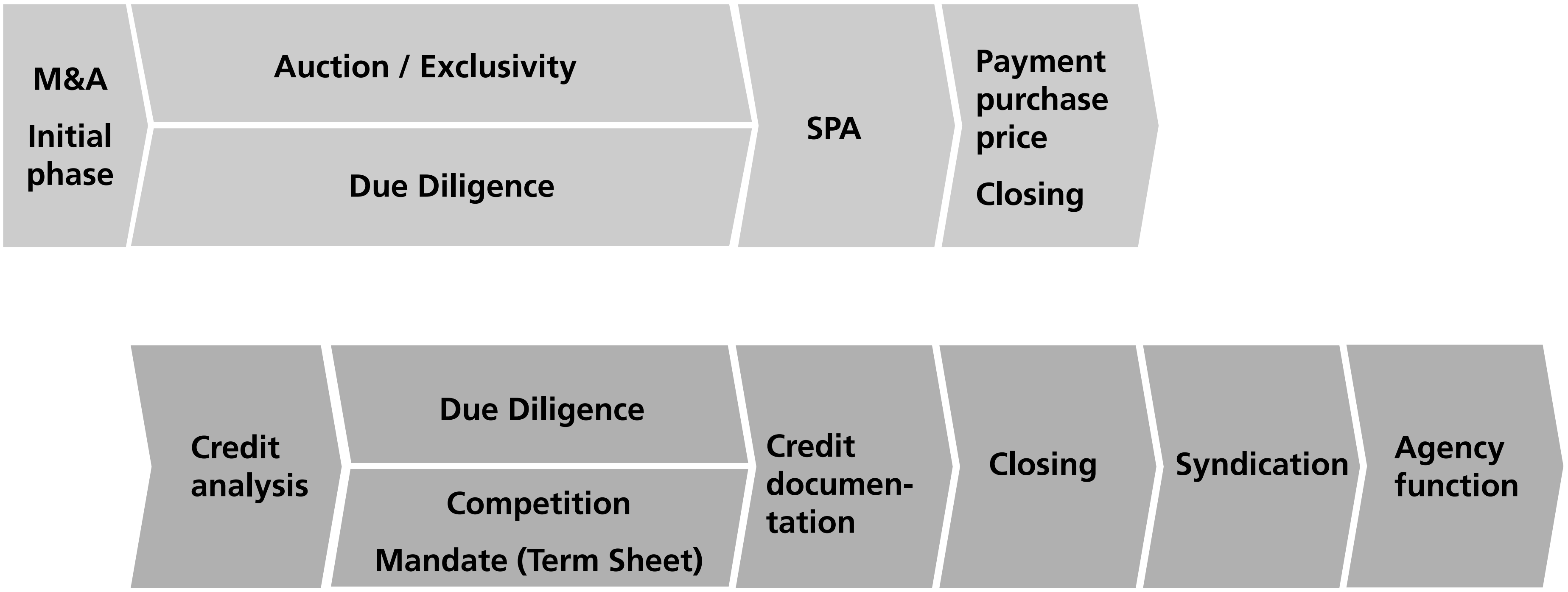
Section 3

Transaction process

Transaction flow

A transaction usually takes between 2 and 4 months...

M&A Process / Buyout Process



- UBS Structured Finance Process (Underwriting)
- Timing: approx. 8-10 weeks until loan disbursement plus approx. 6 weeks for the syndication process (total: approx. 3-4 months)

… depending on the complexity of the transaction

Credit analysis and due diligence

Credit analysis → Due Diligence / Signing of mandate (Term Sheet) → Credit documentation → Closing → Syndication → Agency function

Management

- Track record / education
- USPs / role of a potential financial investor
- Risk of management (deputies, succession arrangements)
- Dependence on key employees

Company Analysis

- Initial situation, historical development
- Strategy / Business Model
- Medium-term plan, plausible with historical development (at least 3 years)
- Legal and tax aspects
- Environmental risks, etc.

Product and market analysis

- Product and market description
- Positioning, Competitiveness and Competitiveness

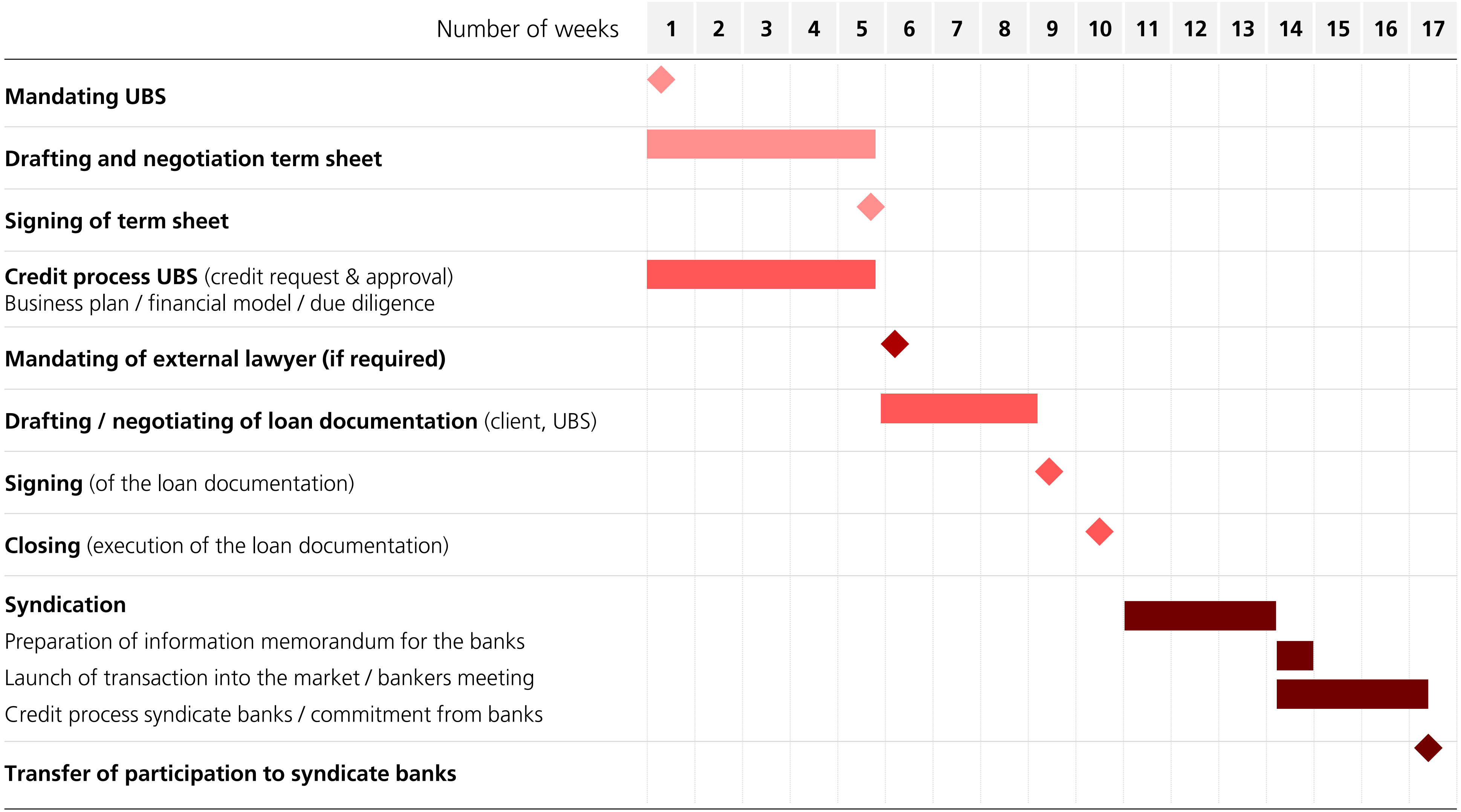
Transaction process

- Type of process (auction, exclusivity) and schedule
- Involved parties/consultants, competitors
- Financing needs (time availability, proof of financing)

Options for arranging syndicated financing

	Club Deal	Best-Efforts Syndication	Full Underwriting
Concept	• UBS and other banks familiar with the Company will **jointly provide the necessary financing.**	• At an **early stage** of the transaction, other selected **banks are invited** by UBS to participate in providing the financing on a best-efforts basis.	• Upon signing of the loan agreement, UBS in its capacity as **underwriter** will **temporarily be the sole provider of financing.** The credit facility will be **syndicated** only **after** the **signing** / **closing** of the loan agreement.
Parties involved / complexity of the process	• **Club deal banks all participate in negotiating** the term sheet, whereas UBS will take a lead function as coordinator. • Generally, a **more complex** process (coordination, alignment of interests) as the requirements of all involved banks have to be taken into account.	• UBS as lead arranger will be the **sole counterparty in negotiations** • Formation of the syndicate under a single loan documentation (based on a signed term sheet between the (Company and UBS). Hence, this process is **less complex** than the process of a club deal	• UBS as lead arranger and underwriter will be the **sole counterparty in negotiations.**
Time require-ment	• As there is a need of **coordination** between the club deal banks, it takes **more time** until the financing is available.	• It takes **more time than an under-writing or club deal** until the financing is available due to the **syndication process (prior to closing**).	• **Fastest** way to make the facility amount available to the borrower as UBS will temporarily be the sole provider of financing (syndication is launched following completion of the actual transaction).
Financing security	• **High**, although linked to a **time-consuming** coordination process.	• **Lower security** than an underwriting or a club deal. Can be increased through early involvement of other banks.	• **Very high**, UBS can provide the financing in an efficient and rapid way.
Costs	• Most **cost-efficient solution**, principally comparable with a best-efforts syndication.	• Most **cost-efficient solution**, principally comparable with a club deal.	• **Rather expensive** (arrangement fee, interest margin) due to the syndication risk which UBS bears.

Indicative timetable – Underwriting



Section 4

Debt capacity – S&U

Financing potential and relevant UBS Free Cash Flow

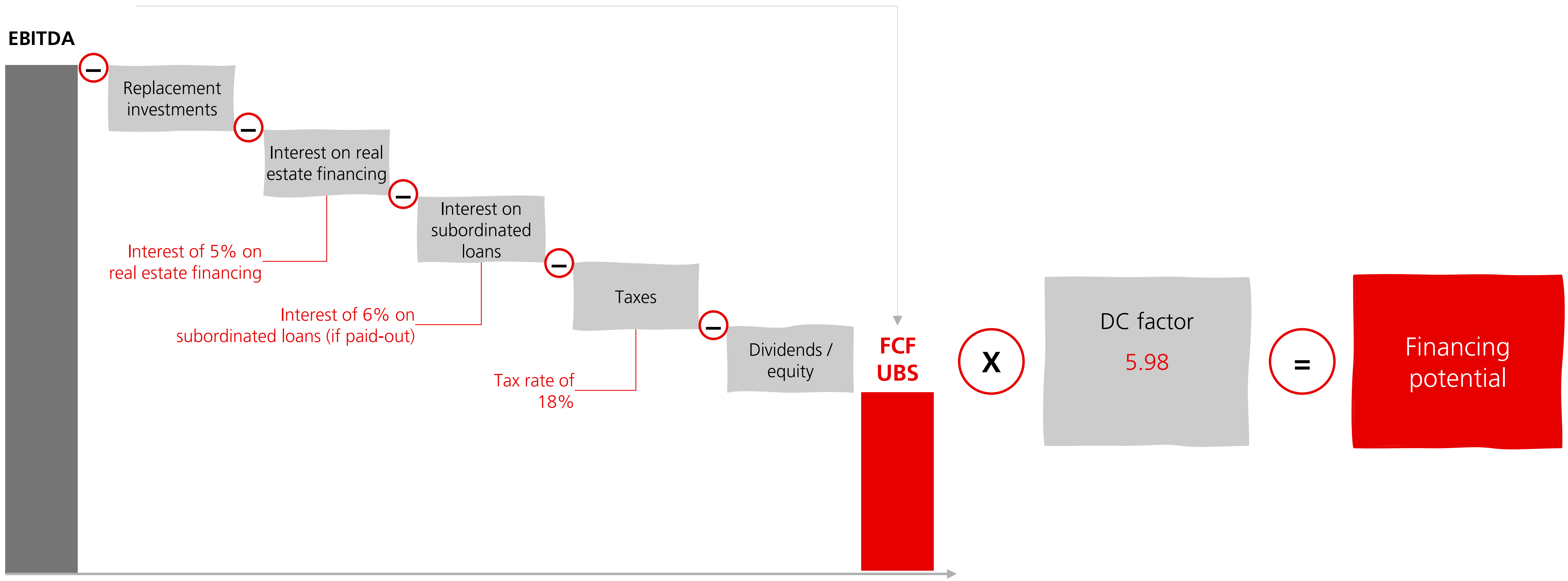
Definition of financing potential

- UBS defines financing potential as the maximum net debt (= interest-bearing borrowings from traditional bank loans less cash and cash equivalents not required for operational purposes) that a company can pay interest on under a zero-growth scenario from sustainable operating cash flow over a certain period (generally 5–7 years) and could theoretically repay in full.
- In principle, all interest-bearing debt serviced from the UBS FCF (free cash flow) must be taken into account. Debt that is secured separately (e.g., real estate financing within the loan-to-value standard) or subordinated to UBS can be deducted.
- If net debt exceeds the financing potential over a longer period, not only equity but also part of the debt capital bears entrepreneurial risks.

Calculation of financing potential

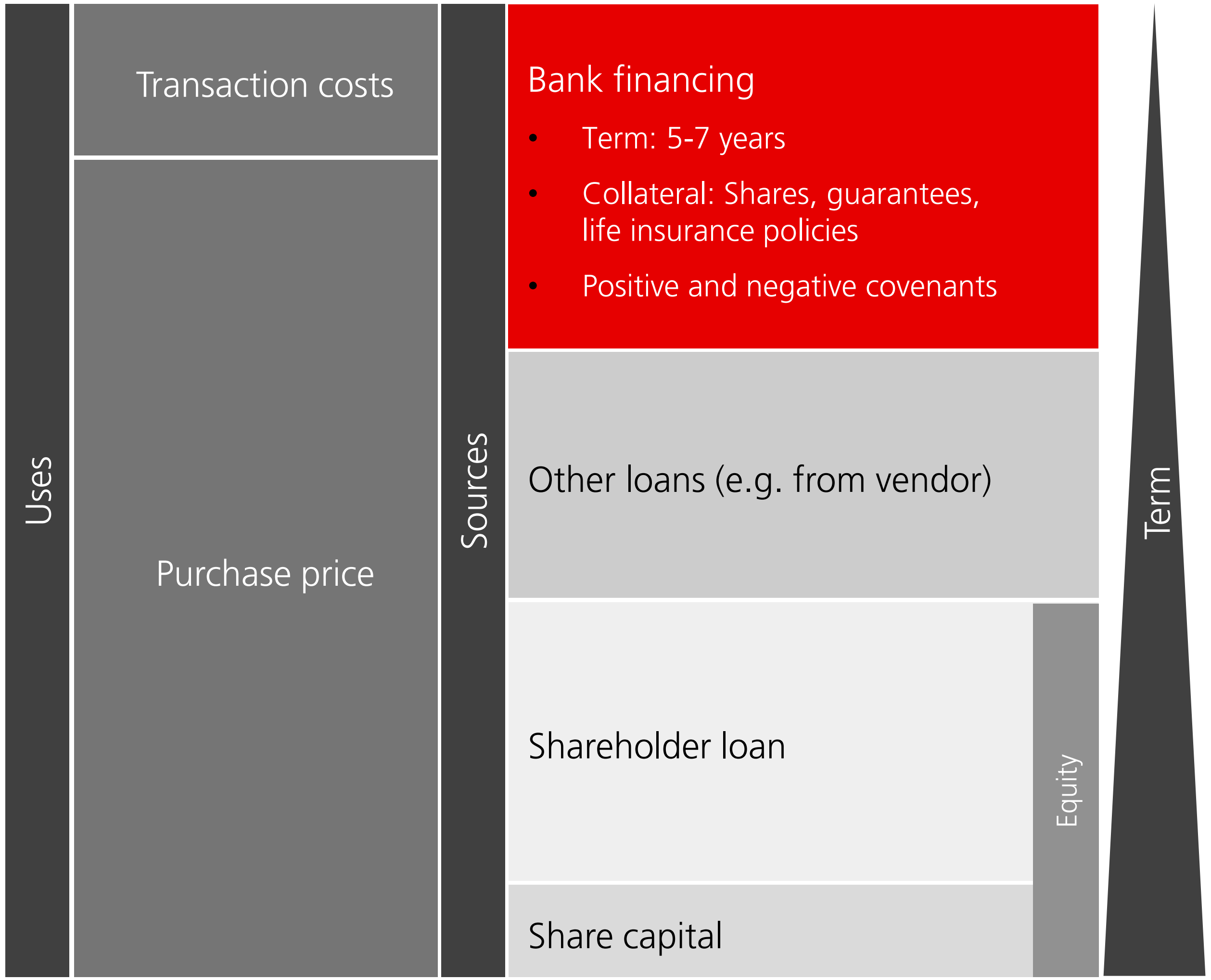
- The relevant UBS FCF is the cash flow available for servicing (interest and amortization) of the operating debt and thus represents the basis for debt service.
- FCF UBS comprises future expected EBITDA less sustainable replacement investments, taxes and dividends/equity. Taxes are calculated on EBITDA less replacement investments, interest on real estate financing and interest on subordinated loans.
- The debt capacity (DC) factor of 5.98x corresponds to the discounted free cash flows of the next 7 years under a zero-growth scenario.

Derivation UBS Free Cash Flow and financing potential



Sources and Uses

Common financing sources for transactions



Remarks

- Distribution of funds and risk between buyer, bank and seller. Equity ratio of at least 20%
- Bank loan based on debt capacity of target company (free cash flow)
- Healthy debt-to-earning ratio (leverage)
- Vendor loans as a reinforcing element for aligning the interests of the involved parties
- Modalities of equity financing instruments (interest, term and repayment) must be subordinated to the bank loan
- Common covenants and warranties for financing of this type (e.g. limitation of dividends, indebtedness, acquisitions, negative pledge)

Section 5

Financing cases

Where are syndicated loans relevant?

Geplante Fusion

SoftwareOne erreicht über 90% der Crayon-Aktien

Der IT-Dienstleister hat sich bisher 91,5% aller ausgegebenen und ausstehenden Titel des norwegischen Konkurrenten sichern können.

HIAG-Geschäftsmodell überzeugt in von steigenden Zinsen geprägtem Markt Nachhaltig ausgerichtete, kommittierte Syndikatskreditlinie platziert

BKW places a new committed revolving credit facility of CHF 1.5 billion*

UBS Switzerland AG, acting as **Mandated Lead Arranger, Agent & Lender,** has jointly underwritten **Bridge and Term Loan Facilities…**

…for **Georg Fischer AG's** all-cash tender offer for **Uponor Oyj**, a leading provider of sustainable water flow solutions

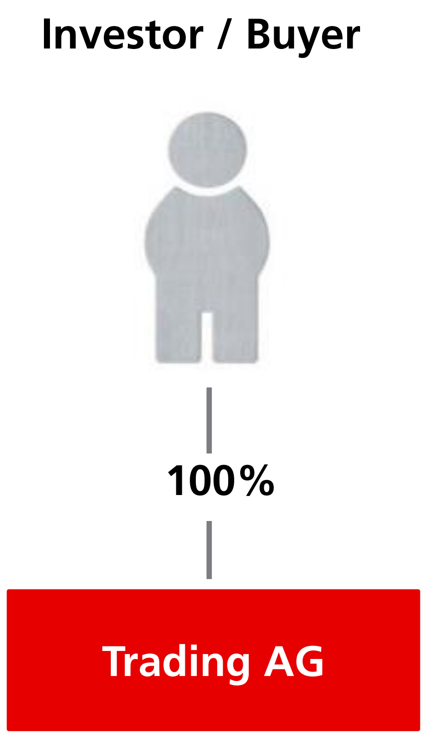
NEWS

Rieter setzt mit grossem Zukauf auf Chemiefasergeschäft

09. January 2023

Capvis erwirbt die Mehrheit der SCHURTER Gruppe

MBI case - Initial position



- 1978: Foundation of a «Einzelfirma» active in production and trading of devices for logistics of valuables
- 2000: Current owner takes over the company by means of an asset deal by its existing Trading AG which offers advisory and engineering services in security logistics
- 2025: Owner (60Y) wants to sell its company in the context of his succession planning (no family or company internal successors exist)
- M&A auction process leads to a preferred MBI investor with specific sector knowledge who offers a share purchase price of CHF 7.8m
- Investor approaches UBS to get a financing offer

P&L Trading AG

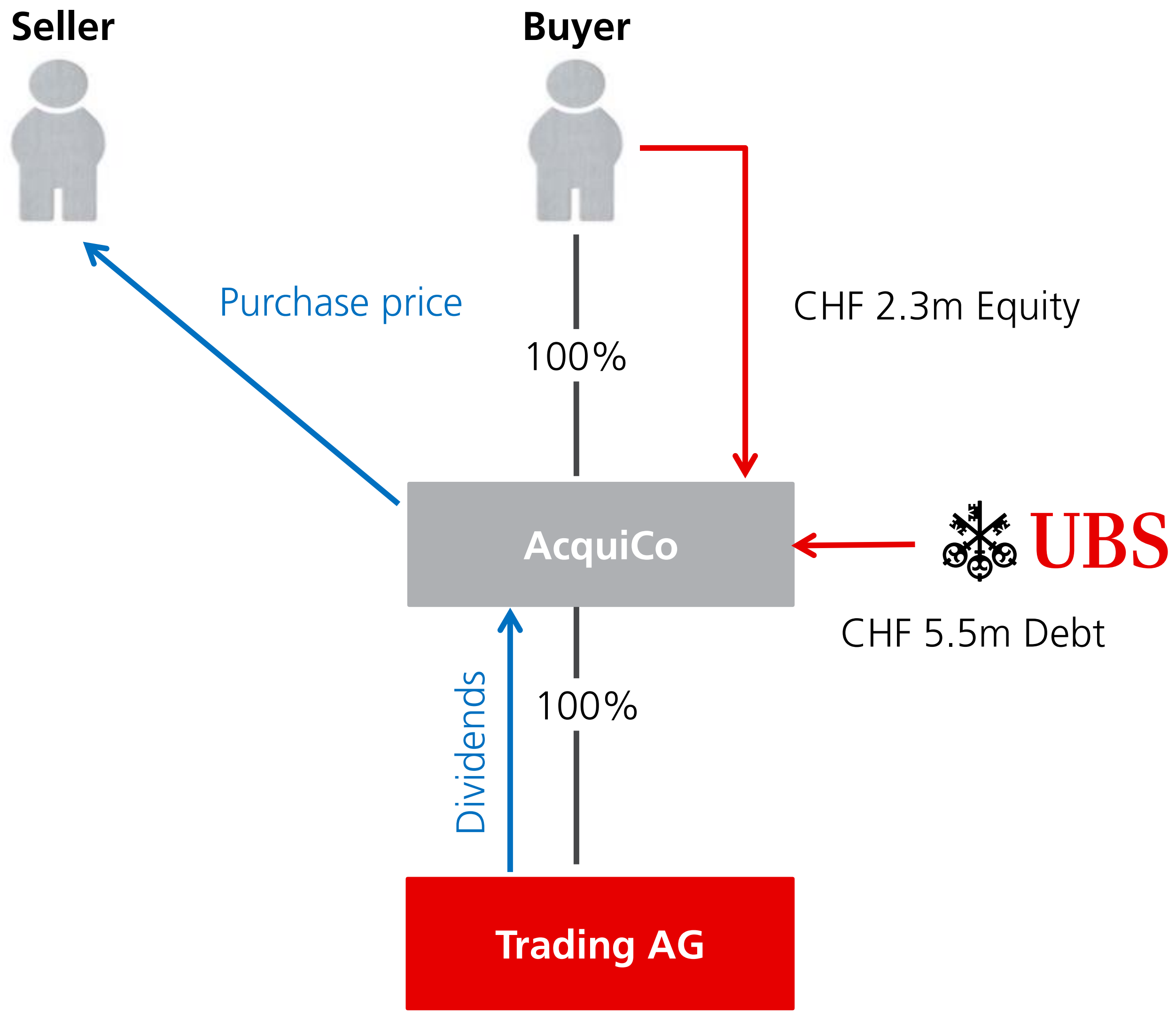
in CHF '000	2022	2023	2024	2025	2026	2027	2028	2029
Net sales	3,339	4,374	4,664	4,400	5,000	5,150	5,305	5,463
COGS	-1,898	-1,960	-1,850	-1,550	-1,850	-1,905	-1,963	-2,022
Personnel expenses	-910	-1,067	-1,055	-1,000	-1,210	-1,096	-1,096	-1,096
Other operative expenses	-297	-380	-259	-259	-274	-259	-259	-259
EBITDA	**234**	**967**	**1,500**	**1,591**	**1,667**	**1,890**	**1,987**	**2,087**
in % Net Sales	*7.0%*	*22.1%*	*32.2%*	*36.2%*	*33.3%*	*36.7%*	*37.5%*	*38.2%*
Depreciation	-24	-23	-35	-35	-50	-52	-53	-55
EBIT	**210**	**944**	**1,465**	**1,556**	**1,617**	**1,838**	**1,934**	**2,032**
in % Net Sales	*6.3%*	*21.6%*	*31.4%*	*35.4%*	*32.3%*	*35.7%*	*36.5%*	*37.2%*
Financial expenses	-1	-6	1	0	0	0	0	0
Tax	-2	-147	-233	-243	-252	-287	-302	-317
Net profit	**208**	**791**	**1,233**	**1,313**	**1,364**	**1,552**	**1,632**	**1,715**

- How do you evaluate the share purchase price of CHF 7.8m?
- How would you structure the bank financing?
  - Amount?
  - Amortization?
  - Other conditions?
- What kind of other aspects are also relevant particularly in case of a MBI?

- Active in a niche market in the security industry, 15 employees
- 1 competitor in Switzerland, less than 10 competitors in Europe
- 3 pillars: (i) production/selling of own products, (iii) trading/selling of third-party products (smallest part) and (iii) servicing
- 2022: Impact from COVID and supply chain frictions
- 2023/24: Market introduction of new products
- 2025: Current trading and order backlog confirm full-year budget 2025

UBS

Financing structure



Terms & Conditions

- Amount: CHF 5.5m
- Amortization over 6Y (CHF 0.9m p.a. + remaining amount at maturity)
- Security:
  - Share pledge Trading AG
  - Personal guarantee CHF 0.5m
  - Death risk insurance (TRP) CHF 1.5m
- Financial covenant: Debt / EBITDA
- Shareholder loan to be subordinated and assigned to UBS
- UBS as sole bank

Questions?

Your career at UBS

UBS

What program is right for me?

Summer Internship

8 to 10 weeks

- **Bachelor / Master** students
- Available **across business divisions**
- Key pipeline to our **Graduate Talent Program**
- Start date **July**

Internship

3-12 months

- **Bachelor / Master** students or **recent graduate**
- Available **across business divisions**
- Key pipeline to our **Graduate Talent Program**
- Start dates on a **rolling basis**

Graduate Talent Program

18 months

- **Recent graduate**
- Focuses specifically on **developing your skills and knowledge** in your target business area
- Customized on- and off-the-job training
- Start dates **February, July or September**

Join our UBS Talent Community

Let’s stay in touch!

Register now to learn more about UBS and get exclusive updates on our events and applications for student and graduate opportunities.